



SONOMA COUNTY

575 ADMINISTRATION
DRIVE, ROOM 102A
SANTA ROSA, CA 95403

Summary Report

Agenda Date: 3/12/2019

To: Board of Supervisors of the County of Sonoma
Department or Agency Name(s): Human Resources
Staff Name and Phone Number: Janie Carduff 707-565-3995
Vote Requirement: Majority
Supervisory District(s): All

Title:

Tentative Agreement to the Memorandum of Understanding Extension between the County of Sonoma and the Sonoma County Prosecutors' Association.

Recommended Actions:

Adopt a Resolution approving the Tentative Agreement to the Memorandum of Understanding Extension between the County of Sonoma and the Sonoma County Prosecutors' Association, providing a 2.44% increase to the salary scales of all job classifications covered under the Memorandum of Understanding.

Executive Summary:

During the last round of negotiations for the extension to the Memorandum of Understanding (MOU) between the County and the Sonoma County Prosecuting Attorney's Association (SCPA), the County agreed to conduct a review of total compensation data for all County attorney classifications. The County and SCPA met and conferred and reached a tentative agreement to increase the SCPA classifications by 2.44% to reach total compensation equity in relation to all County attorney classifications. Upon Board adoption, SCPA classifications will receive an increase of 2.44% to the A step of the salary scale and all subsequent steps shall be adjusted accordingly.

Discussion:

As agreed to in the MOU between SCPA and the County, for the 2019 successor labor contract, the County met and conferred with SCPA to address total compensation equity between SCPA classifications and other comparable Sonoma County attorney classifications, including Child Support Attorney, Deputy District Attorney, Deputy Public Defender, and Deputy County Counsel. The data used to review the salaries was the 2018 Total Compensation Survey completed by Ralph Andersen & Associates. The County and SCPA agreed to compare the Attorney IV level to other appropriate levels of attorney classifications.

The County compared total compensation data, excluding any additional compensation for specialty duties (including but not limited to, on call or standby pay), for the County's attorney classifications. After completing the review of the Total Compensation Survey, the County and SCPA reached a Tentative Agreement to increase SCPA classifications by 2.44%. The 2.44% will be applied to the A step of the salary scale and all subsequent steps shall be adjusted accordingly. This adjustment is based on and limited to the parties agreement to perform a comparative total compensation analysis of the County's various attorney classifications for the 2019 negotiations only. Currently, no agreement is in place for future adjustments to be administered in this same manner.

Upon your Board's approval, this salary increase will be effective the pay period beginning March 12, 2019 and will be reflected in the April 3, 2019 pay date.

Government Code Compliance Requirements:

Various provisions of the California Government Code require certain disclosures before the Board can adopt changes in salaries or benefits, with additional disclosure required for changes in pension and other post-employment benefits. Any changes in salaries and benefits must be adopted at a public meeting of the Board (Cal Gov't Code §23026). Notice of the consideration of such increases must be provided prior to the meeting and shall include "an explanation of the financial impact that the proposed benefit change or salary increase will have on the funding status of the county employees' retirement system." (Cal Gov't Code §31515.5).

In addition, when considering changes in retirement benefits or other postemployment benefits, the Board "shall secure the services of an actuary to provide a statement of the actuarial impact upon future annual costs, including normal cost and any additional accrued liability, before authorizing changes in public retirement plan benefits or other postemployment benefits." (Cal Gov't Code §7507). When there are changes in retirement benefits or other postemployment benefits, the statement of actuarial impacts shall be provided by an enrolled actuary and shall be made public at a meeting at least two weeks before the adoption of the increase in benefits. (Cal Gov't Code §31516). Note, however, that today's recommendations do not include changes to retirement benefits or other post-employment benefits.

This staff report recommends the Board adopt salary changes to the SCPA MOU. Based on the letters received from Segal Company (Segal), the proposed 2.44% wage adjustment exceeds the future years' 3.5% annual wage increase assumptions applied in the December 31, 2016 actuarial valuation; and therefore, Segal's analysis, as included in Attachment B, states that the proposed changes will have a slight impact on the ongoing cost of the plan and funding status of the Sonoma County Employees' Retirement Association (SCERA) for the remainder of Fiscal Year 2018/2019. The estimated cost increase in annual employer pension cost related to the proposed and previously approved changes in salary and benefits is \$1,500. Additionally, the proposed pensionable amounts may increase the County's Unfunded Actuarial Accrued Liability (UAAL) for

General employees by \$11,000, which translates to an increase in the annual amortization payment by approximately \$800 in the first year, for a total employer contribution increase of \$2,300.

The proposed 2.44% wage adjustment does not exceed the future years' 3.5% annual wage increase assumptions applied in the December 31, 2017 actuarial valuation; and therefore, Segal's analysis, as included in Attachment C, states that the proposed changes will have no material impact to the ongoing cost of the plan and funding status of SCERA for Fiscal Year 2019/2020. However, it should be noted that any future salary and benefits changes bargained for the 2019/2020 Fiscal Year would require this analysis to be revised.

Prior Board Actions:

September 18, 2018: Board approved Extension of the Memorandum of Understanding between the County and Sonoma County Prosecutors' Association.

FISCAL SUMMARY

Expenditures	FY 18-19 Adopted	FY19-20 Projected	FY 20-21 Projected
Budgeted Expenses	\$77,667	\$266,287	
Additional Appropriation Requested			
Total Expenditures	\$77,667	\$266,287	
Funding Sources			
General Fund/WA GF	\$71,395	\$244,783	
State/Federal			
Fees/Other	\$6,272	\$21,504	
Use of Fund Balance			
Contingencies			
Total Sources	\$77,667	\$266,287	

Narrative Explanation of Fiscal Impacts:

Not Applicable

Staffing Impacts:

Position Title (Payroll Classification)	Monthly Salary Range (A - I Step)	Additions (number)	Deletions (number)

Narrative Explanation of Staffing Impacts (If Required):

Not Applicable

Attachments:

1. Resolution
2. Attachment A - Signed Tentative Agreement
3. Attachment B - Segal Company Letter dated March 5, 2019
4. Attachment C - Segal Company Letter dated March 5, 2019

Related Items "On File" with the Clerk of the Board:

NA.